May/June 2010 Paper 02

Section I (Compulsory)

Question 1

1(a) Definition of business plan

Define the term 'business plan'. (2 marks)

A business plan is a written document prepared by the owner of a business that sets out the goals of the business and explains in detail how the business intends to achieve those goals. It usually covers what the business will produce or sell, who its customers will be, how it will be run and how it will be financed over the first few years of operation.

1(b) Elements of a business plan

Describe the following elements of a business plan: (i) Business Identification; (ii) Product or Service Description; (iii) Market Strategy; (iv) Organization or Management. (8 marks)

Business Identification

This section gives the basic details that identify the business, including the name of the business, the physical and mailing address, the names of the owners, the type of legal organisation (sole trader, partnership or company) and the type of industry the business belongs to. It allows any reader of the plan to know exactly what business is being described and how to contact the owners.

Product or Service Description

This section describes the goods or services that the business intends to offer for sale. It explains the main features of each product, the quality standards, how the product is different from those of competitors and what need or want it will satisfy for customers. This shows the reader what the business is actually selling and why customers would want to buy it.

Market Strategy

This section explains how the business plans to attract and keep customers. It identifies the target market, the price the business will charge, where the goods will be sold and how the business will promote its products through advertising, sales promotion or personal selling. It shows that the owner has thought carefully about how to compete in the market.

Organization or Management

This section sets out how the business will be organised and managed on a day-to-day basis. It includes an organisation chart showing the different departments and the lines of authority, the names and qualifications of the key managers, the number of workers needed and how they will be supervised. This tells the reader who will be running the business and whether they have the experience to make it succeed.

1(c) Elements of the Executive Summary

Identify FOUR elements which the Executive Summary should contain. (4 marks)

Four elements that the Executive Summary should contain are:

- The name of the business and a brief description of what it does.
- The mission and main objectives of the business.
- A short description of the products or services offered and the target market.
- The amount of finance needed and how the funds will be used.

1(d) Reasons a business plan is necessary

State THREE reasons why a business plan is necessary. (6 marks)

To act as a guide for running the business

A business plan gives the owner a clear set of goals and a step-by-step plan for reaching them. This helps the owner to make better day-to-day decisions and to measure how well the business is actually doing compared with what was planned.

To help obtain finance from banks and investors

Banks and other lenders will not usually lend money to a business unless they can see exactly how the money will be used and how it will be repaid. A well-prepared business plan provides this information and makes it much easier for the owner to convince a bank or an investor to provide the needed funds.

To reduce the risk of failure

Writing a business plan forces the owner to think carefully about every part of the business before any money is spent. This helps to spot weaknesses and problems in advance, so that they can be fixed early rather than after the business has already started losing money.

Question 2

2(a) Simple contract vs mere agreement

State the difference between a simple contract and a 'mere agreement'. (4 marks)

Simple contract

A simple contract is an agreement between two or more persons that is recognised and enforced by law. It can be made in writing, by spoken word or even by the conduct of the parties, and once all the requirements of a valid contract are present, either party can take the other to court if the agreement is broken.

Mere agreement

A mere agreement is simply an understanding between two or more persons to do or not to do something, but it does not have the legal backing of a contract. Because one or more of the requirements of a valid contract is missing (often the intention to create legal relations or consideration), neither party can use the courts to force the other to keep the agreement.

2(b) Requirements of a valid contract

List FOUR requirements of a valid contract. (4 marks)

Four requirements of a valid contract are:

- Offer and acceptance, where one party makes a clear offer and the other party accepts the offer in the same terms.
- Consideration, which means that each party must give something of value, such as money, goods or a service, in exchange for what the other party is giving.
- Intention to create legal relations, meaning that both parties must intend the agreement to be legally binding.
- Capacity to contract, which means that both parties must be of legal age and of sound mind, and not disqualified by law from making the contract.

2(c) John Pebbles and Albert Rock case

John Pebbles requested Albert Rock to transport a group of young people to a concert. The agreed cost of the trip was $5000. John made a down payment of $100. However, the group felt that the price was too much, and decided to cancel the trip. Albert was not informed about the change of plans so he presented his transport at the appointed time to take the group to the concert. John Pebbles then told Albert that he was very sorry that the group had changed its plans. Albert demanded that John pay him immediately or face the courts. John refused to pay on the grounds that he received no service from Albert. (i) Based on the information in the case, justify why the arrangement between John and Albert can be considered a valid contract. (2 marks); (ii) Using information from the case, determine whether there was a 'breach of contract'. Justify your answer. (4 marks); (iii) Identify TWO remedies that a court can award for breach of contract. (2 marks)

(c)(i) Why this is a valid contract

The arrangement between John and Albert can be considered a valid contract because all the main requirements of a contract are present. There was a clear offer by John for Albert to transport the group, an acceptance by Albert of that offer, and consideration in the form of the agreed price of $5000, of which John actually paid $100 as a down payment. By making and accepting the down payment, both parties also showed that they intended the agreement to be legally binding.

(c)(ii) Whether there was a breach of contract

Yes, there was a breach of contract on the part of John Pebbles. A breach of contract happens when one party fails to do what was promised under the contract without a lawful reason. John and his group cancelled the trip and refused to pay the rest of the agreed price, even though Albert had carried out his part of the agreement by presenting his transport at the appointed time. Because John did not give Albert any notice of the cancellation and did not pay him as agreed, John is the party in breach.

(c)(iii) TWO remedies a court can award

- Damages, which is a sum of money paid by the party in breach to compensate the other party for the loss suffered.
- Specific performance, which is a court order forcing the party in breach to actually carry out the duties promised in the contract.

2(d) Other ways a contract may be terminated

Outline TWO ways (apart from breach) by which a contract may be terminated or discharged. (4 marks)

By performance

A contract is discharged by performance when both parties fully carry out the duties they agreed to do under the contract. Once each party has done what was promised, for example the buyer has paid and the seller has delivered the goods, the contract comes to a natural end and neither party owes anything further.

By mutual agreement

A contract can also be ended when both parties freely agree to cancel it before all the duties have been carried out. As long as both sides accept the cancellation, the contract is discharged and neither party can later sue the other for not completing the original agreement.

Question 3

3(a) Advantages of small businesses

State TWO advantages of small businesses. (4 marks)

Easy and cheap to set up

A small business usually needs only a small amount of capital to start, and there are very few legal formalities compared with large companies. This means that almost any person with a useful skill and a small amount of savings can become his or her own boss.

Quick decision-making and personal service

Because the owner is often in direct contact with the customers and the workers, decisions can be made quickly without going through layers of management. The owner also gets to know customers personally and can adjust the products and service to suit their needs, which builds strong customer loyalty.

3(b) Relationships between cottage industries and small businesses

Identify TWO relationships that exist between cottage industries and small businesses. (4 marks)

- Cottage industries are themselves a type of small business, since they use a small amount of capital, employ only a few workers (usually members of the household) and serve a limited market.
- Cottage industries often supply small businesses with handmade goods such as craft items, baked goods or clothing, which the small businesses then sell on to the wider public, so the two depend on each other for their success.

3(c) Benefits of operating cottage industries

Outline THREE benefits of operating cottage industries. (6 marks)

Provides employment and income for households

Cottage industries are run from the home and use family labour, so they create jobs and earn extra income

for members of the household, including women and young people who might not easily find work outside the home.

Uses local raw materials and skills

Cottage industries usually depend on local raw materials such as straw, clay, wood or fruit, and on traditional skills passed down through the family. This helps to keep local crafts and culture alive while making good use of resources that would otherwise be wasted.

Earns foreign exchange through tourism and exports

Many cottage industry products, such as handmade craft and food items, are bought by tourists or sold abroad. This brings foreign currency into the country and helps to improve the balance of payments.

3(d) How small businesses contribute to Caribbean economies

Discuss TWO ways in which small businesses contribute to Caribbean economies. (6 marks)

Creation of jobs and reduction of unemployment

Small businesses make up the majority of all businesses in the Caribbean and they employ a large share of the workforce. Because they are spread across both town and country areas, they provide jobs for people who might not be able to travel to large cities to work. This reduces unemployment, increases household incomes and helps to lower poverty in the region.

Contribution to government revenue and economic growth

Small businesses pay taxes such as income tax, business tax and value added tax, which give the government money to spend on schools, health and roads. They also produce goods and services that add to the Gross Domestic Product of the country, and they encourage the development of local entrepreneurs who reinvest their profits in the economy.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Capital intensive vs labour intensive production

Distinguish between capital intensive production and labour intensive production, giving ONE example of EACH form of production. (6 marks)

Capital intensive production

Capital intensive production is a method of production in which a large amount of machinery, equipment and technology is used compared with the number of workers. The cost of buying and running the machines is far greater than the cost of labour, but output per worker is usually very high. An example is an oil refinery, where most of the work is done by computer-controlled equipment and only a small number of trained operators are needed.

Labour intensive production

Labour intensive production is a method of production in which a large amount of human labour is used compared with the amount of machinery and equipment. Wages make up most of the production cost and

output per worker is usually lower. An example is a small banana farm, where workers do most of the planting, weeding and harvesting by hand.

4(b) Technological competencies for today's employees

Employees must be technologically competent to succeed in today's workplace. List FOUR technological competencies that today's employees need. (4 marks)

- The ability to use a computer and common operating systems such as Windows.
- The ability to use word processing and spreadsheet software such as Microsoft Word and Excel.
- The ability to use the internet and email for research and communication.
- The ability to use specialised software relevant to their job, such as accounting, design or point-of-sale software.

4(c) Disadvantages of modern technology

State TWO disadvantages of modern technology. (4 marks)

High cost of buying and maintaining equipment

Modern computers, machinery and software are expensive to buy and have to be repaired, upgraded and replaced regularly. Small businesses in particular may find it hard to keep up with these costs.

Loss of jobs and need for retraining

When machines and computers take over tasks that were once done by people, many workers can be laid off. The workers who stay on the job often need to be retrained, which costs the business time and money and can cause stress for the employees.

4(d) How modern technology can improve efficiency

Discuss TWO ways by which modern technology can improve the efficiency of businesses. (6 marks)

Faster and more accurate processing of work

Computers and modern machinery can carry out tasks such as preparing invoices, recording sales and producing goods much faster than human workers, and with far fewer mistakes. This means that the business can serve more customers in less time, reduce waste from errors and lower the cost of producing each item.

Better communication and decision making

Tools such as email, video conferencing and management information systems allow managers to share information quickly with branches, suppliers and customers in different locations. Because managers can get up-to-date sales, stock and financial figures at the click of a button, they can make better decisions about pricing, ordering and staffing, which improves the overall performance of the business.

Question 5

5(a) Branding and packaging

(i) Define the term 'branding'. (2 marks); (ii) State TWO ways in which branding influences the packaging of a product. (4 marks)

(a)(i) Definition of branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from other similar products on the market.

(a)(ii) TWO ways branding influences packaging

The brand name and logo must appear clearly on the package

Because customers identify the product by the brand, the package has to be designed so that the brand name and logo are large, clear and visible from a distance on the supermarket shelf. The package therefore has to use the colours, fonts and pictures that match the brand.

The quality of the package must match the quality of the brand

If the brand is positioned as a high-quality or luxury product, the package must be made of strong, attractive material, with neat printing and good finishing. A cheap or untidy package would damage the image of the brand and confuse customers about what to expect from the product.

5(b) Reasons for branding a product

Discuss TWO reasons for branding a product. (6 marks)

To make the product easy to recognise and remember

A strong brand name, logo and design help customers to pick out the product quickly from many other similar products on the shelf. Once customers have tried the product and liked it, the brand acts as a memory aid that allows them to find and buy the same product again, which builds repeat sales and customer loyalty.

To allow the business to charge a higher price

A well-known brand creates trust in the mind of the customer, who comes to believe that the branded product is of better quality than unbranded alternatives. Because of this trust, the business can charge a higher price than it would for an unbranded product, which increases the profit margin and helps the business to grow.

5(c) Factors that influence consumer behaviour

Identify FOUR factors that influence consumer behaviour. (4 marks)

- The level of income of the consumer, which affects how much he or she can spend.
- The price of the product compared with the prices of competing products.
- Personal taste, age, lifestyle and culture of the consumer.
- Advertising, sales promotion and the influence of family and friends.

5(d) Preventing products from being reproduced

Outline TWO ways by which producers can prevent their products from being reproduced by unauthorized persons. (4 marks)

Registering trademarks and patents

The producer can register the brand name, logo and any unique invention as a trademark or patent at the intellectual property office. Once registered, no other person is allowed by law to copy or use them, and anyone who does so can be taken to court.

Using special packaging features and serial numbers

Producers can add features to their packaging that are very hard to copy, such as holograms, special seals, watermarks and unique serial numbers. This makes it easy for customers and inspectors to tell the genuine product from a fake one and discourages people from trying to reproduce the product.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Indicators of economic growth

Identify TWO indicators of economic growth. (2 marks)

- An increase in the country's Gross Domestic Product (GDP) from one year to the next.
- An increase in real per capita income, meaning the average income per person after adjusting for inflation.

6(b) Economic growth vs economic development

State ONE difference between economic growth and economic development. (3 marks)

Economic growth refers only to the increase in the total output of goods and services produced in a country over a period of time, usually measured by the rise in real GDP. Economic development is a wider idea that includes economic growth but also looks at improvements in the quality of life of citizens, such as better health care, higher levels of education, less poverty and a cleaner environment. So a country may have economic growth without true economic development if the extra output does not improve the lives of ordinary people.

6(c) Benefits to society from rules and regulations

Describe THREE ways in which a society benefits from rules and regulations enforced by government. (6 marks)

Protection of consumers

Rules such as food and drug standards and weights and measures laws make sure that the goods sold to the public are safe, properly labelled and sold in the correct quantity. This protects citizens from being cheated or harmed by sellers.

Protection of workers

Labour laws set out minimum wages, safe working conditions, hours of work and the right to join a trade union. These rules protect workers from being treated unfairly or being made to work in dangerous conditions, and they help to keep peace between workers and employers.

Protection of the environment and public order

Environmental rules control pollution, the dumping of waste and the use of natural resources, while traffic and public order laws keep the streets safe. Together they protect the health and safety of all members of society and preserve the environment for future generations.

6(d) Ways to achieve positive economic growth

Discuss THREE ways in which a country can achieve positive economic growth. (9 marks)

Investment in education and training

When a country spends more on schools, technical colleges and on-the-job training, its workers become more skilled and more productive. Better-trained workers can produce more goods and services of better quality in the same amount of time, which raises the country's GDP and supports steady economic growth.

Encouraging local and foreign investment

The government can attract investment by offering tax holidays, building good roads, ports and electricity supply, and keeping interest rates and inflation under control. New factories, hotels and farms financed by these investments create jobs, increase output and bring in foreign exchange, all of which add to economic growth.

Diversifying the economy and expanding exports

A country that depends on only one or two products is at risk if world prices fall. By developing new industries such as tourism, financial services, agro-processing and information technology, and by selling more of these to overseas markets, a country can earn more foreign exchange and grow its economy more steadily over time.

Question 7

7(a) Benefits of international trade

Outline THREE benefits that a country may gain from engaging in international trade. (6 marks)

Access to goods that the country cannot produce

Through international trade, a country can import goods and services that it cannot produce itself or cannot produce in large enough amounts, such as machinery, medicines or certain foods. This raises the standard of living of the citizens by giving them a wider variety of products to choose from.

Earning of foreign exchange from exports

By selling its own goods and services to other countries, a country earns foreign currency such as US dollars or pounds sterling. This foreign exchange is then used to pay for needed imports and to repay foreign loans, which helps to keep the economy stable.

Creation of jobs and economic growth

Producing goods for export creates jobs in farming, manufacturing, transport, banking and tourism. As output and incomes rise, the GDP grows and the government collects more tax, which it can use to provide better public services.

7(b) Balance of trade vs balance of payments

Distinguish between balance of trade and balance of payments and illustrate with the use of an example, how EACH is calculated. (8 marks)

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods. For example, if a country exports goods worth $500 million and imports goods worth $400 million, the balance of trade is $500 million minus $400 million, giving a favourable balance of trade of $100 million.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. For example, if the balance of trade is $100 million favourable, the balance of trade in services is $50 million favourable and there is a net outflow of $200 million on capital and transfers, the balance of payments is $100 million plus $50 million minus $200 million, giving an unfavourable balance of $50 million.

7(c) Quality of education and economic growth

Discuss TWO ways in which an improvement in the quality of education can affect economic growth and development. (6 marks)

Higher productivity of the workforce

Better quality education produces workers who can read, write, calculate and use technology to a higher standard. These workers can do their jobs faster and with fewer mistakes, can take on more skilled work and can adapt more easily to new methods and machines. As a result, output per worker rises, businesses become more competitive and the economy grows more quickly.

More entrepreneurship and innovation

When citizens are better educated, more of them have the knowledge and confidence to start their own businesses and to invent new products and ways of doing things. New businesses and new ideas create jobs, expand exports and bring in new technology, all of which support both economic growth and the wider development of the country, including better health, lower poverty and improved quality of life.